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Advancing operational excellence for social good

Introduction to USAID Funding

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Why do these regulations exist?

- To set standards for accountability
  - US government funds comes from taxes paid by US citizens and companies
  - Citizens demand accountability for the use of their taxes
- To promote consistency for organizations that receive US government funds

2

Restricted and unrestricted funds

- Your organization might be funded through:
  - ✓Unrestricted funds
    - ✓Often from private donations and some non-US Government donors
  - ✓Restricted funds
    - ✓From the US Government and some other donors

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How these regulations can help you

Best business practices and regulations can:

- Help organizations build capacity and be sustainable
- Allow USAID/donors to focus on programs and less on the administration of the awards
- Keep you eligible for future awards
- Make you more attractive to other donors

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How does money get to agencies?

5

Each Federal agency has an approved budget

Which Federal agencies does your organization receive funding from?

- Respond in the discussion section

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How are these projects implemented?

by Acquisition → Request for Proposal (RFP)

Or

by Assistance → Notice of Funding Opportunity (NOFO)
- Request for Application (RFA)
- Annual Program Statement (APS)

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USAID Funding Framework

Assistance/Support	Acquisition
Goal: Assist, stimulate, support a program	**Goal:** Acquire, purchase specific deliverable
Benefit: Flows down to the project	**Benefit**: USAID/US Government
Relationship: Transfer of funds or goods to carry out a public purpose	**Relationship**: Exchange of funds for contractor goods/services
Funding mechanism: Grants, Cooperative Agreements	**Funding mechanism**: Contract, Purchase Order

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In Practice

Assistance	Acquisition
Relationship: Let's build it together! What will it cost?	Relationship: I want to buy this. The price I will pay is $X only.
Salary Scale: Do what you think is right by your own policy.	Salary Scale: We will pay X; take it or leave it. Everyone take a pay cut.
Branding: We did this great thing together! We both deserve a lot of credit.	Branding: This is our project, not yours.

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Award Types

Assistance (Support)

- Grant
- Cooperative Agreement
- Fixed Amount Award
- Leader with Associate Award (LWA)
- Associate Awards

Acquisition (Procurement)

- Cost Plus Fixed Fee (CPFF) Contract
- Firm Fixed Price Contract
- Purchase Order (PO)
- Indefinite Delivery Indefinite Quantity Contract (IDIQ)
- Task Order under an IDIQ

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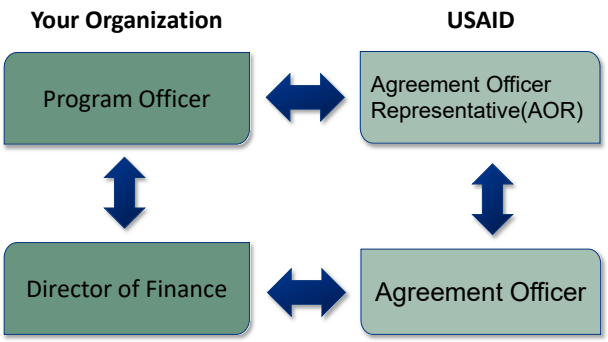
Key players in the USAID relationship



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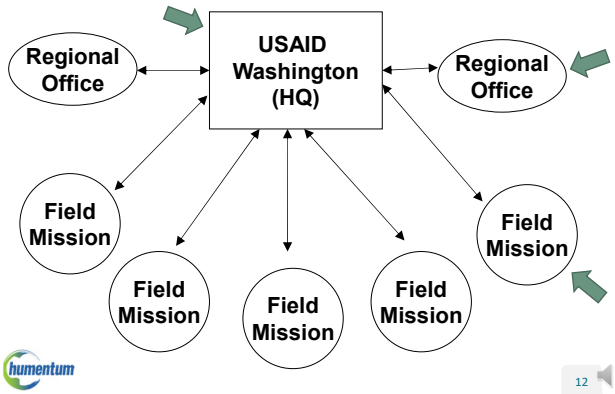
How is USAID Organized?



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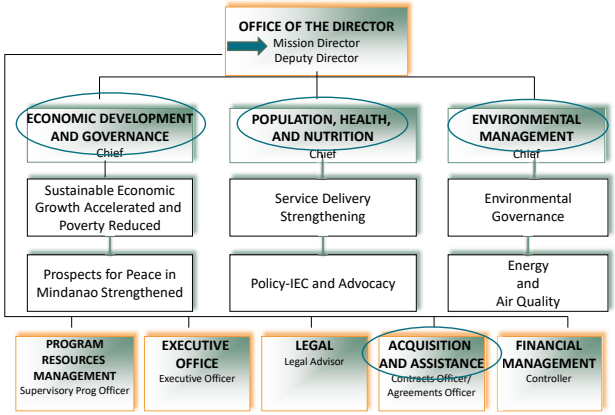
USAID/Field Mission Organization



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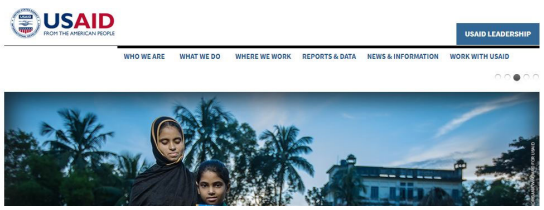

USAID's Website

www.usaid.gov

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USAID Rules and Regulations Map

	Assistance	Acquisition
Funding Mechanism	Grant or Cooperative Agreement - Letter & Schedule - Program description - Standard Provisions (US, Non-US)	Contract - Schedule - FAR Clauses - AIDAR Clauses
Key Federal Regulations	Administrative regulations: 2 CFR 200, 2 CFR 700 (US-based) Standard Provisions (Non-US)	FAR AIDAR
	2 CFR 200 Subpart E Cost Principles (US, Non-US nonprofits) FAR Part 31 Cost Principles (US, Non-US for profits) 2 CFR 200 Subpart F Audit Requirements (US, Non-US) 22 CFR 228 Source, Nationality Requirements (US, Non-US)	
Automated Directives System	ADS 300, Chapter 303, Grants and Cooperative Agreements	ADS 300, Chapter 302, Direct Contracting
Other References	Certifications and Assurances	Representations and Certifications
	Acquisition and Assistance Policy Directives (AAPD)	
	Mission Orders	
	Organization's Written Policies	
	Standardized Regulations (Per Diems/Allowances etc.)	

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CFR = Code of Federal Regulations

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Organizations' policies and procedures

- Procurement and property
- Accounting
- Travel
- Human resources
- Subaward management

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Regulations for USAID Grants and Cooperative Agreements

US organizations	Non-US organizations
2 CFR 200 Subpart A-D 2 CFR 700 USAID Supplement	
2 CFR 200 Subpart E Cost Principles	2 CFR 200 Subpart E Cost Principles
2 CFR 200 Subpart F Audit Requirements	2 CFR 200 Subpart F Audit Requirements
Standard Provisions for US organizations	Standard Provisions for non-US organizations
22 CFR 228 Source and Nationality Requirements	22 CFR 228 Source and Nationality Requirements

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Comparison of sample of regs for US/Non-US organizations

US Based Organizations	Non-US Based Organizations
2 CFR 200/700 Financial management Cost share Budget revisions Procurement Program income Record retention Marking	
Mandatory Standard Provisions for US organizations M8 – Eligibility of commodities/services M13 – Marking	**Mandatory Standard Provisions for non-US organizations** M1, M2 – Financial management M2 – Record retention M3 – Budget revisions M5 – Procurement M6 – Eligibility of commodities/services M9 – Marking
Required as Applicable Standard Provisions for US organizations RAA10 – Cost share	**Required as Applicable Standard Provisions for non-US organizations** RAA1, RAA2 – Financial management RAA15 – Cost share RAA16 – Program income

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Department of State (DOS) regulations

- US and non-US organizations follow 2 CFR 200
- DOS supplement to 2 CFR 200: 2 CFR 600
- Standard Terms and Conditions

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Organizations that receive federal funding

- Recipient
  - ✓ Receives the award directly from USAID
- Subrecipient
  - ✓ Receives a subaward from a pass-through entity (prime recipient)
- Pass-through entity
  - ✓ Provides a subaward to another organization
- Non-Federal entity (NFE)
  - ✓ Includes recipients and subrecipients

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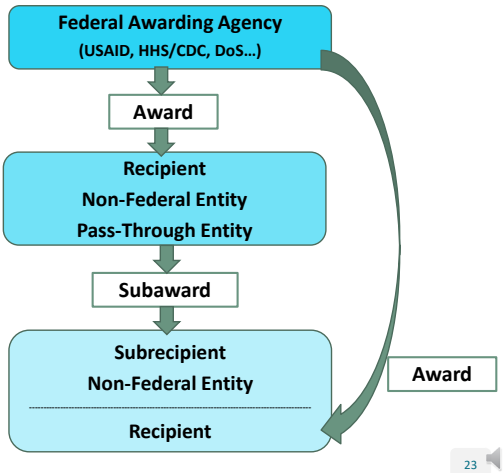

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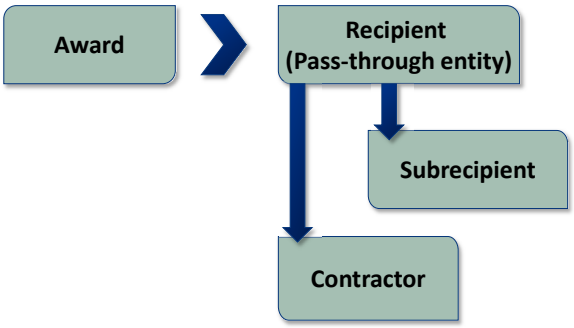
Implementation of Assistance Awards



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Introduction to USAID regulations

A non-profit organization placed an advertisement for a finance manager position on its first cooperative agreement from USAID. The organization expects to receive some new grants from USAID in the near future. The advertisement says that the person must have detailed knowledge of the Federal Acquisition Regulation (FAR) to be able to administer the agreements and grants.

Is this requirement correct? Why or why not?

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Introduction to USAID regulations

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Is this requirement correct? Why or why not?

Answer

No. The FAR does not apply to grants and cooperative agreements. This organization should emphasize that it is looking for candidates who are familiar with assistance regulations, such as 2 CFR 200 and the Standard Provisions.

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Please post questions in the discussion section

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